

Reposition an underperforming portfolio offering

Application Managed Services: strong technical delivery, but commercially stuck — flat net sales, declining gross margin, Sales cannot articulate value, inconsistent regional pricing.

NET SALES (2 YRS)

Flat

Weak conversion · little attach

GROSS MARGIN (ILLUSTRATIVE)

28% → 22–24%

–4 to –6 percentage points over 2 years

DELIVERY SATISFACTION

Strong

Execution is not the failure mode

EXECUTIVE FRAMING

Commercial / go-to-market problem — not a delivery turnaround. Sold as headcount; buyers purchase outcomes, cost predictability, and risk reduction.

STORYLINE · ONE STAGE PER SLIDE

1 Five-lens diagnosis → 2 Illustrative findings → 3 Decision → Reposition
4 Package & price · 5 Guardrails & invest · 6 Align & measure · 7 Ask

Five-lens diagnosis — what we would gather

STAGE 1 · FIVE-LENS DIAGNOSIS

A WIN / LOSS	B MARGIN	C COMPETITIVE	D CUSTOMER VOICE	E PORTFOLIO FIT
15–20 deals. Tag price-only vs value unclear. Trigger: value unclear >30% → positioning broken.	Discount · transition overrun · unpaid scope. Trigger: discount-led bleed → guardrails.	Staff augmentation vs outcome peers. Trigger: buyers ask for tiers → reposition.	High satisfaction + low willingness to pay = story gap.	18-month margin path? Pull-through? Sunset only if both fail.

1 Diagnose	2 Findings	3 Decide	4 Package	5 Guardrails	6 Align	7 Ask
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Likely findings — commercial root causes, not delivery

STAGE 2 · ILLUSTRATIVE FINDINGS

1 COMMODITIZED PACKAGING

Sold as L1/L2/L3 staffing towers. Procurement benches rate-per-person vs systems integrators. Symptom: flat sales.

2 PRICING CHAOS

Regional ad-hoc discounts. Underpriced knowledge transfer. Unpaid scope. Symptom: 28% → 22–24% margin.

3 VALUE STORY GAP

Buyers want outcomes and predictability. Sales pitches headcount. Symptom: cannot explain value.

1 Diagnose

2 Findings

3 Decide

4 Package

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7 Ask

Decision framework → Reposition

STAGE 3 · DECISION FRAMEWORK

SUNSET

Rejects footprint. Only if no 18-month margin path AND no pull-through. Not indicated.

EVOLVE ONLY

More tooling, same sellable unit. Fixes neither Sales narrative nor pricing chaos.

REPOSITION ✓

Outcome-tiered Application Ops. Stabilize → Optimize → Transform. Evolve modules selectively.

1 Diagnose

2 Findings

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Sell tiers and outcomes — not staffing towers

STAGE 4 · PACKAGE & PRICE

STABILIZE

Restore control

- Service-level baseline
- Platform + criticality
- Floor GM $\geq$ 22%

OPTIMIZE

Prove efficiency

- Monitoring / automation
- Outcome-band pricing
- Floor GM $\geq$ 26%

TRANSFORM

Operating-model uplift

- Continuous improvement
- Milestone (Finance OK)
- Floor GM $\geq$ 28%

ATTACH: mandatory knowledge-transfer · optional packs · multi-vendor ONLY when win/loss shows demand

1 Diagnose

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Deal Desk rules that stop the bleed — fund return first

STAGE 5 · GUARDRAILS & INVEST

PRICING GUARDRAILS

Floor GM

≥22% / 26% / 28% by tier

Max discount

≤12% list · trade scope/term

Transition

KT mandatory · min 8% Y1 value

Scope CR

Unpaid cap 2% ACV

Regional variance

±15% of global rate card

Credits

Soft-ramp · Finance rev-rec

FUND FIRST

- Q1 Rate card · Deal Desk
- Q2 Catalogue · 2 pilots
- Q3–4 Packs · renewals
- Y2 Retire headcount-only

STOP

- × Custom tooling per account
- × Below-floor PoCs
- × Regional bespoke rates
- × Rebrand without Sales kit

1 Diagnose

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One program — Sales, Marketing, Finance, regions

STAGE 6 · ALIGN & MEASURE

SALES / DEAL DESK

≥80% bids on tier by Q2

MARKETING

One narrative by outcome tier

FINANCE

Rev-rec · margin floors

REGIONS / DELIVERY

Pilots hit catalogue

12-MONTH SCOREBOARD · QUARTERLY PRICING COUNCIL

Net sales Flat→+8–12% · GM recover 3–4 percentage points (e.g. →25–27%) · Tier adoption ≥80%

Feedback: monthly Deal Desk overrides → quarterly Pricing Council → annual sunset re-test

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Reposition. Land with tiers. Expand when value is proven.

STAGE 7 · ASK

THE CALL

Reposition AMS as Outcome-Tiered Application Operations (Stabilize → Optimize → Transform). Do not sunset. Do not evolve tooling without fixing the sellable unit. Fund guardrails in Q1; pilot two regions; measure with Pricing Council.

THOUGHT PROCESS

- 1 Diagnose with five lenses
- 2 Synthesize commercial root causes
- 3 Decide with trade-offs → Reposition
- 4 Package / guardrail / enable / measure

ASK OF LEADERSHIP

- Approve reposition + global rate card
- Stand up Deal Desk guardrails
- Authorize two regional pilots
- Name Product owner + steering

QUESTIONS · 5 MINUTES · Deep dive on any stage: HTML case study

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